

Nova Tech Systems Ltd. 2025 Annual Report

Management Discussion and Analysis

Revenue increased to .4 billion in FY2025 from .3 billion in FY2024, reflecting continued enterprise demand and stronger recurring revenue. Operating income grew to .2 billion, while net income increased to .1 billion. Cash flow from operations was .2 billion versus .7 billion in FY2024. Gross margin remained stable at 58%.

Total assets increased to .8 billion from .5 billion, and total liabilities rose to .8 billion from .3 billion. Management continued to invest in AI infrastructure, cloud expansion, and research and development while preserving capital allocation discipline.

Liquidity and Capital Resources

The company maintained a strong liquidity position and expanded operating cash flow. We believe our balance sheet supports continued investment in product development, platform scalability, and customer growth opportunities.

Risk Factors

Cybersecurity threats, data privacy regulation, competition, and product execution risk remain material risks for the business. Supply-chain constraints and semiconductor cost inflation also affected hardware-related segments. Management believes ongoing investment in security, compliance, and operational resilience is necessary to mitigate these risks.

FY2025 vs FY2024 Summary

Revenue: .4 billion vs .3 billion
Operating income: .2 billion vs .6 billion
Net income: .1 billion vs .5 billion
Cash flow from operations: .2 billion vs .7 billion
Total assets: .8 billion vs .5 billion
Total liabilities: .8 billion vs .3 billion